PERSONALIZED WEALTH STRATEGY

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Executive Summary

This 12-month plan is built to (1) reduce this year's taxes with an audit-ready business layer, (2) align entities for W-2, 1099, and rental activities, and (3) automate wealth building with a Bitcoin-first allocation. It also includes a property path using cost segregation + 100% bonus depreciation to materially increase Year-One ROI if you buy (or place in service) a short-term rental.

🎯 **Year-One Value (Base plan)**	**$49,500 – $135,500**
🎯 **Year-One Value (Property path, STR + bonus)**	**$95,000 – $255,000**

If you add a BTC-linked income sleeve (optional), totals increase by $4,000 – $18,000 depending on product and size. Existing REIT cash flow ≈ $28,800/yr is not counted as "new value" but supports runway.

Current Snapshot

- Income: Combined W-2 + 1099 > $500k.
- Fixed costs: Low (rent $2,300/mo, no car payment, other spend ≈ $5,000/mo).
- Rental: Long-term rental gross $22,400/yr.
- Investments: Large REIT position (~$200k at ~14.4% ≈ $28,800/yr cash).
- Legal matters: Judgment won; pursuing $138k fees + $341k+ contract recovery (growing).
- Goal: Preserve capital for a 5–7 year retirement runway and move toward $40,000/mo retirement income.

30 Day Launch Checklist

Week 1 — Structure & Banking

- Form or confirm a Management/Consulting LLC (OpCo) for 1099 work; keep the rental in a separate LLC.
- Open dedicated business checking; connect QuickBooks or Zoho.

Week 2 — Documentation (Audit-Ready)

- Sign an Accountable Plan (phone/internet %, mileage, home office).
- Build an Augusta Rule calendar (12–14 meetings) with agenda templates and FMV comps.
- Home office: measure and photo; compute simplified vs actual and pick the larger.

Week 3 — Tax & Retirement Setup

- Right-size W-4 to target a small refund.
- On 1099 profit, open a Solo 401(k) or SEP-IRA.
- Set up Backdoor Roth (roll any pre-tax IRAs into a 401(k) first to avoid the pro-rata rule).
- If available, design Mega Backdoor Roth (after-tax to in-plan Roth).

Week 4 — Investment Foundation

- Open River or Strike for BTC; schedule lump-sum and DCA.
- Turn on mileage tracking; start a monthly reimbursement packet routine (PDF + ACH proof).

Tax Optimization Playbook

1. Accountable Plan reimbursements

Reimburse phone and internet %, mileage, and home-office costs monthly from LLC to you. Keep receipts and a monthly packet.

Estimated Year-One value: $3,000 – $6,000

2. Home office — choose the higher method

Simplified: $5/sq-ft up to $1,500. Actual: allocate a % of rent, utilities, insurance, repairs. Example: 120 sq-ft office in 1,200 sq-ft home = 10% business use. If annual housing costs ≈ $27,600, actual ≈ $2,760.

Estimated value: $2,000 – $3,500

3. Augusta Rule (up to 14 tax-free days)

Prepare agendas and minutes with 2–3 FMV space comps. Invoice from you to the LLC and pay via ACH for clean audit trail.

Estimated value: $3,500 – $6,000

4. Vehicle deduction (leased vehicle, business-use %)

Deduct the business % of lease payments and running costs. Log miles. If you later purchase a >6,000-lb SUV with >50% business use, consider §179 or bonus.

Estimated value: $3,000 – $9,000

5. QBI (199A) on consulting profit

Plan to stay within thresholds to preserve the 20% deduction where eligible.

Estimated value: $6,000 – $20,000

6. Solo-401(k) employer contribution (or SEP) on 1099 profit

Use employer contributions to shelter new profit. Pairs well with a Mega Backdoor Roth if the plan allows.

Estimated value: $8,000 – $20,000

7. Tangible-property rules

Expense items ≤ $2,500 per invoice under the de-minimis rule and deduct eligible prepaids under the 12-month rule.

Estimated value: $1,000 – $3,000

8. Long-term rental optimization

Cost seg on a long-term rental creates passive losses. These do not offset W-2/1099 unless you qualify as a real estate professional. They can shield rental income and bank carryforwards.

Estimated value: $3,000 – $6,000

9. Health accounts (if eligible)

Use an HSA with an HDHP and/or FSA/DCFSA as available.

Estimated value: $1,000 – $3,000

10. Backdoor and Mega Backdoor Roth

Create tax-free space for the long run. This is long-term value and not counted in Year-One cash totals.

11. Lawsuit recoveries — deduct the fees

Where possible, route legal fees through the LLC for Schedule C deductibility instead of limited personal itemized treatment.

Estimated value: $4,000 – $12,000

12. Cost Segregation + 100% Bonus Depreciation (property lever)

Two ways to unlock this in Year One:

- Buy or convert to a Short-Term Rental and materially participate. STR losses can offset W-2/1099 when material participation is met.
- For a long-term rental, cost seg still creates passive losses to shield rental income and bank for later, but does not offset W-2/1099 unless you qualify for REPS.

What it can be worth (illustrations): On a purchase of $600k–$1.2M (building portion ~75%), cost seg often identifies 20%–30% into 5/7/15-year assets. With 100% bonus, first-year deduction ≈ $90k – $270k. At high marginal rates the tax value is commonly $45,000 – $120,000 in Year One. Placed-in-service by Dec 31 is critical.

Estimated Year-One value if you execute the STR path: $45,000 – $120,000

Airbnb Arbitrage Execution Plan

Market Screening Criteria

- STR-friendly zoning and HOA with written allowance to sublease.
- Historic ADR and occupancy that supports 1.8×–2.2× rent coverage at 65% occupancy.
- Demand drivers: hospitals, universities, convention center, parks, waterfront.
- Seasonality under 40% swing and supply growth not outpacing demand.
- Walk score or drive time to major nodes under 15 minutes.

Unit Economics Framework

- Base rent + utilities + Wi-Fi + parking + insurance.
- Setup budget: furnishings, linens, kitchen kit, smart locks, sensors, decor.
- Platform, cleaning, restock, and management time costs.
- Breakeven occupancy and free cash flow at 50%, 60%, 70% occupancy.
- Target net margin ≥ 20% after reserves.

Launch Sequence

- Landlord outreach with corporate lease + sublease clause and additional insured.
- Sign lease, file local tax registrations if required.
- Install smart access, Wi-Fi mesh, camera at entry, noise monitor.
- Stage and photograph. Create listings on Airbnb and VRBO.
- Dynamic pricing, 20% opening promo, message templates, SOPs for cleaning and restock.

If not buying this year, you can still bonus-depreciate furnishings and equipment for arbitrage or co-hosting. Expected Year-One value $3,000 – $7,000.

Investment Strategy and Portfolio Allocation

Core philosophy: Hold a durable core in BTC while keeping liquidity for opportunity and taxes. Use satellites for asymmetric growth and a small income sleeve for cadence if desired.

Primary Engine — Bitcoin

- Lump-sum: deploy $50,000 – $150,000 after a six-month cash runway is secured.
- DCA: add $2,000 – $4,000 per month; increase by $500 per month when legal proceeds arrive.
- Buy with River or Strike. Upgrade custody to hardware and 2-of-3 multisig.
- Harvest tax losses on other coins and migrate 90%–95% toward BTC within 6–12 months.

Accelerators

- IREN exposure 1%–3% of portfolio for AI datacenter and mining economics.
- Deploy via staged DCA over two months to reduce entry risk.

Income Sleeve (optional)

- **STRF** — 10% cumulative preferred; higher seniority among preferreds.
- **STRC** — Variable-rate cumulative preferred with monthly cadence.
- **MSTY / IMST** — Option-income ETFs on MSTR; variable payouts and capped upside.

Rebalancing Strategy

- Quarterly check-ins. Rebalance only if any sleeve drifts more than 10 percentage points from target.
- Use new cash flows first, then trims. Avoid creating short-term gains unless necessary.
- Keep a six-month cash reserve outside investment accounts.

Year One Value Breakdown

Tax and Documentation Strategies

Item	Value
Accountable Plan	$3,000 – $6,000
Home office (chosen method)	$2,000 – $3,500
Augusta Rule	$3,500 – $6,000
Vehicle deduction (leased)	$3,000 – $9,000
QBI (199A)	$6,000 – $20,000
Solo-401(k) or SEP	$8,000 – $20,000
Tangible-property rules	$1,000 – $3,000
LTR shield and carryforwards	$3,000 – $6,000
Health accounts (if eligible)	$1,000 – $3,000
Lawsuit fee deductibility	$4,000 – $12,000
Tax subtotal (no new property)	**$31,500 – $80,500**

Add if you execute the STR cost-seg + 100% bonus path

STR bonus depreciation (property + furnishings)	$45,000 – $120,000

Business Cash Flow and Investment Effects

Item	Value
Bitcoin gains	$15,000 – $45,000
IREN gains (optional)	$3,000 – $9,000
Optional income sleeve: STRF	$5,000 – $10,000
Optional income sleeve: STRC	$4,000 – $10,000
Optional income sleeve: MSTY / IMST	$6,000 – $18,000

🎯 **Base plan (no new property, no sleeve)** **$49,500 – $135,500**

🎯 **Property path (add STR bonus depreciation)** **$95,000 – $255,000**

Maximizing Your Returns

- Automate monthly packets for Accountable Plan and mileage so deductions do not get missed.
- Keep entity books clean with a separate OpCo bank and card.
- Price property or arbitrage units with dynamic pricing and clear guest SOPs to protect reviews.
- Upgrade BTC custody and document recovery instructions for heirs.
- Schedule quarterly tax projections to avoid surprises and capture prepaids under the 12-month rule.

Key Success Factors

- Six-month cash runway maintained at all times.
- Written policy files: Accountable Plan, Augusta minutes, vehicle log, custody plan.
- Clear owner time logs for STR material participation if using losses against W-2/1099.
- Quarterly rebalance discipline without over-trading.

Action Plan

This Week

1. Stand up OpCo LLC and open the bank account.
2. Sign the Accountable Plan and start monthly reimbursements.
3. Build the Augusta packet (calendar, agendas, FMV comps, invoice + ACH).
4. Home office: run simplified vs actual; select the larger.
5. Open River or Strike; set BTC lump-sum window and DCA.
6. Turn on mileage tracking; connect accounting.
7. Book a call to confirm Backdoor or Mega Backdoor Roth mechanics with your plan provider.
8. If pursuing the STR path, lock market, financing, and cost-seg vendor; plan placed-in-service before Dec 31.
9. Route lawsuit costs through the LLC to secure deductibility.

This Month

- Finalize Solo-401(k) or SEP and set first employer contribution.
- Document W-4 adjustments and confirm paycheck changes.
- Create a monthly “reimbursement packet” folder template.
- If doing arbitrage, send landlord outreach and secure the first lease.
- Stage BTC custody upgrade plan and schedule multisig setup.

Ongoing Monthly

- Close books by the 10th; export P&L and reimbursement packet PDF.
- Fund DCA buys and sweep excess cash to the target sleeves.
- Review STR pricing, cleaning quality, and review rate.

Quarterly Reviews

- Tax projection and prepaids checklist.
- Portfolio drift and rebalance if outside bands.
- Security check: keys, passwords, and beneficiary files.

December Tax Optimization Checklist

Two Weeks Before Year End

- Run a final tax projection and list prepaids under the 12-month rule.
- Schedule Augusta meetings needed to reach the annual cap.
- Confirm placed-in-service dates for any STR assets.

Final Week Actions

- Complete reimbursements and mileage logs.
- Harvest losses where appropriate and avoid wash sales.
- Make retirement plan contributions per limits and deadlines.

Year End Documentation

- Backup monthly packets, bank statements, and receipts.
- Export crypto transaction history and custody notes.
- Save cost seg report PDFs and placed-in-service tracker.

Compliance and Risk Management

Required Registrations

- LLC filings, EINs, and state renewals on calendar.
- Local lodging and sales tax accounts for STR or arbitrage where required.
- BOI reporting under the Corporate Transparency Act if applicable.

Audit-Ready Documentation

- Accountable Plan policy, Augusta minutes, vehicle log.
- Invoices, bank proof, and a monthly packet index.
- STR material participation logs and vendor receipts.

Ongoing Compliance

- Collect W-9s and issue 1099-NECs to contractors.
- Maintain umbrella insurance and additional insured language on leases.
- Keep custody instructions for BTC accessible to the executor and trustee.

Professional Team

Essential Partners

- CPA or EA with STR and crypto fluency.
- Estate attorney for wills, trust, POA, and HCP.
- Insurance broker for umbrella and STR riders.
- Real estate team and cost seg vendor.

When to Engage

- Now for entity, W-4, and retirement plan setup.
- At property offer for lending structure and cost seg timing.
- Before year-end for prepaids and deduction timing.

Summary

This plan lowers taxes with clean documentation, sets a durable BTC-first allocation, and creates a property lever that can unlock large first-year deductions if you execute before year-end. Keep packets current, protect liquidity, and follow the timeline to compound results.

What matters most this quarter

- Open and fund the Solo-401(k) or SEP and align W-4.
- Execute the Accountable Plan and Augusta calendar with clean packets.
- Fund BTC lump-sum, start DCA, and upgrade custody.
- Decide on STR path and line up placed-in-service by Dec 31 if proceeding.

Note: Ranges shown are illustrative and depend on execution, limits, and tax law. Confirm with your tax advisor.